



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2950: tourism improvement areas; municipalities; counties

WILMETH FLOOR AMENDMENT

1. Revises the contents of the tourism improvement plan.
2. Requires the owner's board to submit the approved tourism improvement area map to the Department of Revenue.
3. Requires the governing board to provide a notice of the approved tourism improvement area plan amendment to the Department of Revenue if the plan amendment includes a new or increased assessment.
4. Includes a process allowing a lodging business to withdraw from the tourism improvement area.
5. Exempts a lodging business that commences operations during the tourism improvement area's term from the lodging business assessment if the business has withdrawn from the tourism improvement area.
6. Clarifies when a lodging business is subject to the lodging business assessment.
7. Makes clarifying changes relating to calculating the lodging business assessment.

WILMETH FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2950
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 48, Arizona Revised Statutes, is amended by adding
3 chapter 38, to read:

4 CHAPTER 38

5 TOURISM IMPROVEMENT AREAS

6 ARTICLE 1. GENERAL PROVISIONS

7 48-6501. Definitions

8 IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

9 1. "BOARD" MEANS THE BOARD OF SUPERVISORS OF THE COUNTY.

10 2. "DESTINATION MARKETING ORGANIZATION" MEANS A NONPROFIT
11 ORGANIZATION OR GOVERNMENTAL UNIT THAT IS DESIGNATED BY THE GOVERNING BODY
12 AS BEING RESPONSIBLE FOR THE TOURISM PROMOTION AND MARKETING OF THE
13 MUNICIPALITY OR COUNTY.

14 3. "GOVERNING BODY" MEANS THE GOVERNING BODY OR BOARD THAT BY LAW
15 IS CONSTITUTED AS THE LEGISLATIVE DEPARTMENT OF THE MUNICIPALITY OR
16 COUNTY.

17 4. "LODGING BUSINESS":

18 (a) MEANS ANY BUSINESS PROVIDING TRANSIENT LODGING AS PRESCRIBED BY
19 SECTION 42-5070.

20 (b) INCLUDES A PROPERTY THAT BEGINS PROVIDING TRANSIENT LODGING AS
21 PRESCRIBED BY SECTION 42-5070 AFTER THE ESTABLISHMENT OF A TOURISM
22 IMPROVEMENT AREA THAT INCLUDES THE PROPERTY.

23 5. "LODGING BUSINESS ASSESSMENT" MEANS A LEVY ON [NIGHTLY] ROOM
24 RENTALS AT A BUSINESS THAT IS CLASSIFIED UNDER SECTION 42-5070.

25 6. "LODGING BUSINESS OWNER" MEANS A PERSON RECOGNIZED AS THE OWNER
26 OF A LODGING BUSINESS THAT IS SUBJECT TO A LODGING BUSINESS ASSESSMENT.

27 7. "MUNICIPALITY" MEANS A CITY OR TOWN.

1 8. "OWNERS' BOARD" MEANS THE DESIGNATED INDIVIDUALS THAT GOVERN THE
2 ACTIVITIES OF THE TOURISM IMPROVEMENT AREA AND MAY BE THE BOARD OF
3 DIRECTORS OF THE DESTINATION MARKETING ORGANIZATION OR A COMMITTEE OF THE
4 DESTINATION MARKETING ORGANIZATION AS LONG AS THE OWNERS' BOARD IS
5 COMPOSED OF AT LEAST A MAJORITY OF LODGING BUSINESS OWNERS.

6 9. "TOURISM IMPROVEMENT AREA" MEANS AN IMPROVEMENT AREA OF
7 CONTIGUOUS OR NONCONTIGUOUS BOUNDARIES.

8 10. "TOURISM IMPROVEMENT AREA ACTIVITY":

9 (a) MEANS ANY ADVERTISING, PROMOTION OR BUSINESS RECRUITMENT THAT
10 IS DIRECTLY RELATED TO LODGING BUSINESSES IN A TOURISM IMPROVEMENT AREA.

11 (b) DOES NOT INCLUDE ACTIVITIES THAT ARE DIRECTLY OR INDIRECTLY
12 RELATED TO CONSTRUCTION AND MAINTENANCE OF PHYSICAL INFRASTRUCTURE.

13 11. "TOURISM IMPROVEMENT AREA PLAN" MEANS A PROPOSAL FOR A TOURISM
14 IMPROVEMENT AREA THAT CONTAINS INFORMATION REQUIRED PURSUANT TO SECTION
15 48-6503.

16 48-6502. Petition; requirements

17 A. ON PRESENTATION OF A PETITION PURSUANT TO THIS SECTION, THE
18 GOVERNING BODY MAY APPROVE THE FORMATION OF A TOURISM IMPROVEMENT AREA.
19 THE PETITION FOR THE FORMATION OF THE TOURISM IMPROVEMENT AREA MUST
20 INCLUDE AND IDENTIFY THE FOLLOWING:

21 1. THE SIGNATURE OF LODGING BUSINESS OWNERS OF TWO OR MORE LODGING
22 BUSINESSES WHO REPRESENT AT LEAST SIXTY-SEVEN PERCENT OF THE TOTAL LODGING
23 BUSINESS ROOMS AVAILABLE WITHIN A PROPOSED TOURISM IMPROVEMENT AREA.

24 2. THE GEOGRAPHIC BOUNDARIES OF THE PROPOSED TOURISM IMPROVEMENT
25 AREA.

26 3. THE TYPES OR CLASSES OF LODGING BUSINESSES THAT WILL BE SUBJECT
27 TO THE PROPOSED LODGING BUSINESS ASSESSMENT.

28 4. THE PROPOSED LODGING BUSINESS ASSESSMENT RATE FOR EACH TYPE OR
29 CLASS OF LODGING BUSINESS THAT WILL BE SUBJECT TO THE LODGING BUSINESS
30 ASSESSMENT.

31 5. INFORMATION SPECIFYING WHERE THE COMPLETE TOURISM IMPROVEMENT
32 AREA PLAN MAY BE OBTAINED AND THAT THE COMPLETE TOURISM IMPROVEMENT AREA
33 PLAN IS AVAILABLE ON REQUEST.

34 B. A LODGING BUSINESS OWNER MAY APPOINT AN AUTHORIZED AGENT TO ACT
35 AS THE LODGING BUSINESS OWNER'S REPRESENTATIVE FOR THE PURPOSES OF THIS
36 CHAPTER. THE LODGING BUSINESS OWNER'S REPRESENTATIVE IS CONSIDERED THE
37 LODGING BUSINESS OWNER FOR THE PURPOSES OF ANY SIGNATURE REQUIRED FOR A
38 PETITION PRESCRIBED BY THIS SECTION, SERVING ON A BOARD OR COMMITTEE OR
39 FOR ANY OTHER PURPOSE AUTHORIZED BY THE LODGING BUSINESS OWNER. THE
40 GOVERNING BODY HAS NO OBLIGATION TO OBTAIN OTHER INFORMATION AS TO THE
41 OWNERSHIP OF THE LODGING BUSINESS, AND ITS DETERMINATION OF OWNERSHIP
42 SHALL BE FINAL AND CONCLUSIVE FOR THE PURPOSES OF THIS CHAPTER.

43 48-6503. Tourism improvement area plan; information

44 A. A TOURISM IMPROVEMENT AREA PLAN MUST BE PREPARED BEFORE THE
45 PUBLIC HEARING ON THE PROPOSED TOURISM IMPROVEMENT AREA HELD PURSUANT TO

1 SECTION 48-6504. THE TOURISM IMPROVEMENT AREA PLAN MUST INCLUDE ALL OF
2 THE FOLLOWING:

3 1. A MAP THAT IDENTIFIES THE BOUNDARIES OF THE PROPOSED TOURISM
4 IMPROVEMENT AREA IN SUFFICIENT DETAIL TO ALLOW A LODGING BUSINESS OWNER TO
5 REASONABLY DETERMINE WHETHER THE LODGING BUSINESS IS LOCATED WITHIN THE
6 PROPOSED TOURISM IMPROVEMENT AREA BOUNDARIES.

7 2. THE NAME OF THE PROPOSED TOURISM IMPROVEMENT AREA.

8 3. THE PLANNED TOURISM IMPROVEMENT AREA ACTIVITIES OF THE PROPOSED
9 TOURISM IMPROVEMENT AREA AND AN ESTIMATE OF THE ANNUAL COST OF THE PLANNED
10 TOURISM IMPROVEMENT AREA ACTIVITIES.

11 4. A DEFINITION DESCRIBING THE TYPE OR CLASS OF LODGING BUSINESSES
12 TO BE INCLUDED IN THE PROPOSED TOURISM IMPROVEMENT AREA AND THE LODGING
13 BUSINESSES THAT WILL BE SUBJECT TO THE PROPOSED LODGING BUSINESS
14 ASSESSMENT. THE DEFINITION MAY INCLUDE THE SIZE OF THE LODGING PROPERTY
15 OR NUMBER OF ROOMS AT THE LODGING PROPERTY.

16 5. THE PROPOSED SOURCE OF FINANCING, INCLUDING THE PROPOSED METHOD
17 AND BASIS OF LEVYING THE LODGING BUSINESS ASSESSMENT IN SUFFICIENT DETAIL
18 TO ALLOW EACH LODGING BUSINESS OWNER TO ESTIMATE THE AMOUNT OF THE LODGING
19 BUSINESS ASSESSMENT TO BE LEVIED AGAINST THE LODGING BUSINESS.

20 6. THE ESTIMATED TOTAL PROPOSED LODGING BUSINESS ASSESSMENTS TO BE
21 SPENT FOR TOURISM IMPROVEMENT AREA ACTIVITIES DURING THE FIRST YEAR OF
22 OPERATION OF THE PROPOSED TOURISM IMPROVEMENT AREA AND THE FORMULA USED TO
23 DETERMINE EACH LODGING BUSINESS OWNER'S LODGING BUSINESS ASSESSMENT, WHICH
24 SHALL BE BASED ON BENEFIT.

25 ~~[7. THE TIME AND MANNER OF COLLECTING THE LODGING BUSINESS~~
26 ~~ASSESSMENTS AND ANY INTEREST OR PENALTIES THAT MAY BE ASSESSED FOR~~
27 ~~NONPAYMENT.]~~

28 ~~[8.]~~ [7.] THE TERM OF THE PROPOSED TOURISM IMPROVEMENT AREA.

29 B. LODGING BUSINESS ASSESSMENTS THAT ARE LEVIED TO CONDUCT TOURISM
30 IMPROVEMENT AREA ACTIVITIES MUST PROVIDE BENEFITS TO LODGING BUSINESSES
31 AND ASSOCIATED INDUSTRIES THAT ARE LOCATED WITHIN THE TOURISM IMPROVEMENT
32 AREA AND THAT ARE SUBJECT TO THE LODGING BUSINESS ASSESSMENT. LODGING
33 BUSINESS ASSESSMENTS MAY VARY BY TYPES OR CLASSES OF LODGING BUSINESSES AS
34 DESCRIBED IN THE TOURISM IMPROVEMENT AREA PLAN, INCLUDING THE SIZE OF THE
35 LODGING PROPERTY OR NUMBER OF ROOMS AT THE LODGING PROPERTY. A LODGING
36 BUSINESS ASSESSMENT MAY BE LEVIED BASED ON ANY OF THE FOLLOWING:

37 1. FIXED RATE PER ~~[TRANSIENT]~~ LODGING ~~[TRANSACTION]~~ [ROOM RENTAL]
38 PER DAY.

39 2. PERCENTAGE OF ~~[TRANSIENT LODGING SALES]~~ [RECEIPTS ON LODGING
40 ROOM RENTALS].

41 C. THE VALIDITY OF A LODGING BUSINESS ASSESSMENT LEVIED BY A FORMED
42 TOURISM IMPROVEMENT AREA MAY NOT BE CONTESTED IN AN ACTION OR PROCEEDING
43 UNLESS THE ACTION OR PROCEEDING IS COMMENCED WITHIN THIRTY DAYS AFTER THE
44 RESOLUTION LEVYING THE LODGING BUSINESS ASSESSMENT IS ADOPTED. ANY APPEAL
45 FROM A FINAL JUDGMENT IN AN ACTION OR PROCEEDING CONTESTING THE VALIDITY

1 OF A LODGING BUSINESS ASSESSMENT MUST BE PERFECTED WITHIN THIRTY DAYS
2 AFTER THE ENTRY OF JUDGMENT.

3 D. TOURISM IMPROVEMENT AREA ACTIVITIES MUST BE DESIGNED TO PROMOTE
4 TOURISM AND LODGING TO ENHANCE THE ECONOMIC DEVELOPMENT CLIMATE IN THE
5 TOURISM IMPROVEMENT AREA IN ACCORDANCE WITH ALL APPLICABLE LAWS,
6 REGULATIONS AND REQUIREMENTS OF THIS STATE AND THE UNITED STATES.

7 48-6504. Formation; public hearing

8 A. ON RECEIPT OF A VALID PETITION, THE GOVERNING BODY MAY ADOPT A
9 RESOLUTION OF INTENTION TO CONSIDER THE FORMATION OF A TOURISM IMPROVEMENT
10 AREA, IF ADOPTED BY THE GOVERNING BODY. THE RESOLUTION OF INTENTION MUST
11 STATE ALL OF THE FOLLOWING:

12 1. THE DATE, TIME AND PLACE OF A PUBLIC HEARING TO CONSIDER THE
13 PETITION FOR FORMATION OF A TOURISM IMPROVEMENT AREA.

14 2. THE PROPOSED TOURISM IMPROVEMENT AREA ACTIVITIES.

15 3. AN ESTIMATED AMOUNT OF FUNDING NECESSARY TO IMPLEMENT THE
16 TOURISM IMPROVEMENT AREA PLAN.

17 4. THE BOUNDARIES OF THE PROPOSED TOURISM IMPROVEMENT AREA.

18 5. THE AMOUNT OF THE PROPOSED LODGING BUSINESS ASSESSMENT.

19 B. IF A RESOLUTION CONSISTENT WITH SUBSECTION A OF THIS SECTION IS
20 ADOPTED BY THE GOVERNING BODY, THE NOTICE OF THE PUBLIC HEARING SHALL BE
21 SENT BY MAIL TO EACH LODGING BUSINESS OWNER SUBJECT TO ASSESSMENT IN THE
22 PROPOSED TOURISM IMPROVEMENT AREA AND PUBLISHED IN A NEWSPAPER OF GENERAL
23 CIRCULATION IN THE MUNICIPALITY OR COUNTY OR ON THE MUNICIPALITY'S OR
24 COUNTY'S PUBLIC WEBSITE AT LEAST THIRTY DAYS BEFORE THE DATE OF THE
25 HEARING. THE NOTICE MUST ALSO CONTAIN A DESCRIPTION OF THE PROPOSED
26 TOURISM IMPROVEMENT AREA AS SET FORTH IN THE RESOLUTION OF INTENTION.

27 C. THE GOVERNING BODY SHALL CONDUCT THE PUBLIC HEARING AT LEAST
28 THIRTY DAYS AFTER MAILING THE NOTICE TO ALL LODGING BUSINESS OWNERS
29 IDENTIFIED PURSUANT TO SUBSECTION B OF THIS SECTION.

30 D. THE GOVERNING BODY SHALL CONSIDER PUBLIC TESTIMONY REGARDING THE
31 PROPOSED TOURISM IMPROVEMENT AREA. ANY LODGING BUSINESS PROPOSED TO BE
32 SUBJECTED TO A LODGING BUSINESS ASSESSMENT MAY SUBMIT A WRITTEN OBJECTION
33 TO THE GOVERNING BODY AT ANY TIME BEFORE THE CONCLUSION OF THE PUBLIC
34 HEARING. IF WRITTEN OBJECTIONS ARE RECEIVED FROM LODGING BUSINESS OWNERS
35 THAT REPRESENT FIFTY PERCENT OR MORE OF THE TOTAL ROOMS WITHIN THE
36 PROPOSED TOURISM IMPROVEMENT AREA, THE GOVERNING BODY SHALL END THE
37 HEARING AND THE MUNICIPALITY OR COUNTY MAY NOT HOLD ANY FURTHER
38 PROCEEDINGS ON THE FORMATION OF THE PROPOSED TOURISM IMPROVEMENT AREA FOR
39 A PERIOD OF ONE YEAR AFTER THE DATE OF THE HEARING.

40 E. THE GOVERNING BODY OF A MUNICIPALITY MAY NOT FORM A PROPOSED
41 TOURISM IMPROVEMENT AREA WITHIN THE UNINCORPORATED TERRITORY OF A COUNTY
42 WITHOUT THE CONSENT OF THE BOARD OF SUPERVISORS OF THAT COUNTY. THE
43 GOVERNING BODY OF A MUNICIPALITY MAY NOT FORM A PROPOSED TOURISM
44 IMPROVEMENT AREA WITHIN THE TERRITORIAL JURISDICTION OF ANOTHER
45 MUNICIPALITY WITHOUT THE CONSENT OF THE GOVERNING BODY OF THE OTHER

1 MUNICIPALITY. THE BOARD OF SUPERVISORS MAY NOT FORM A PROPOSED TOURISM
2 IMPROVEMENT AREA WITHIN THE TERRITORIAL JURISDICTION OF ANOTHER COUNTY
3 WITHOUT CONSENT OF THE BOARD OF SUPERVISORS OF THE OTHER COUNTY.

4 F. THE INITIAL TERM OF A FORMED TOURISM IMPROVEMENT AREA MAY NOT
5 EXCEED TEN YEARS AND SUBSEQUENT RENEWALS OF THE TOURISM IMPROVEMENT AREA
6 MAY NOT EXCEED TEN YEARS PER RENEWAL.

7 G. ANY LODGING BUSINESS OF THE TYPES OR CLASSES THAT ARE SUBJECT TO
8 THE LODGING BUSINESS ASSESSMENT THAT COMMENCES OPERATIONS DURING THE
9 TOURISM IMPROVEMENT AREA'S TERM IS SUBJECT TO A LODGING BUSINESS
10 ASSESSMENT~~[. EXCEPT AS PRESCRIBED BY SECTION 48-6507, SUBSECTION B].~~

11 ~~48-6505. Management; annual report~~

12 A. EACH TOURISM IMPROVEMENT AREA SHALL BE GOVERNED BY AN OWNERS'
13 BOARD COMPOSED OF A MAJORITY OF THE LODGING BUSINESS OWNERS LOCATED WITHIN
14 THE TOURISM IMPROVEMENT AREA OR THEIR AUTHORIZED REPRESENTATIVES. A
15 REPRESENTATIVE OF THE MUNICIPALITY OR COUNTY MAY HAVE A NONVOTING, EX
16 OFFICIO SEAT ON THE OWNER'S BOARD.

17 B. THE GOVERNING BODY SHALL CONTRACT WITH ITS DESTINATION MARKETING
18 ORGANIZATION TO MANAGE AND IMPLEMENT THE TOURISM IMPROVEMENT AREA
19 ACTIVITIES SPECIFIED IN THE TOURISM IMPROVEMENT AREA PLAN.

20 C. THE DESTINATION MARKETING ORGANIZATION MANAGING THE TOURISM
21 IMPROVEMENT AREA HAS ALL OF THE POWERS POSSESSED BY A NONPROFIT
22 CORPORATION ORGANIZED PURSUANT TO THE LAWS OF THIS STATE, INCLUDING THE
23 AUTHORITY TO ACCEPT DONATIONS OR GIFTS OF MONIES AND PROPERTY, TO APPLY
24 FOR AND RECEIVE GRANTS FROM PUBLIC AND PRIVATE SOURCES AND TO CARRY OVER
25 MONIES FROM ONE FISCAL YEAR TO THE NEXT.

26 ~~[D. ON GOVERNING BODY APPROVAL OF THE TOURISM IMPROVEMENT AREA AND~~
27 ~~ANNUALLY THEREAFTER, THE OWNERS' BOARD SHALL SUBMIT TO THE DEPARTMENT OF~~
28 ~~REVENUE THE APPROVED TOURISM IMPROVEMENT AREA MAP WITH DETAILS ON THE~~
29 ~~ASSESSED PROPERTIES IN A FORM AND MANNER REQUIRED BY THE DEPARTMENT OF~~
30 ~~REVENUE.]~~

31 ~~[D.]~~ ~~[E.]~~ THE DESTINATION MARKETING ORGANIZATION THAT MANAGES THE
32 TOURISM IMPROVEMENT AREA SHALL FILE AN ANNUAL REPORT WITH THE GOVERNING
33 BODY WITHIN ONE HUNDRED TWENTY DAYS AFTER THE END OF THE TOURISM
34 IMPROVEMENT AREA'S FISCAL YEAR. THE REQUIREMENT FOR FILING AN ANNUAL
35 REPORT SHALL BEGIN IN THE FIRST FULL FISCAL YEAR AFTER TOURISM IMPROVEMENT
36 AREA FORMATION.

37 ~~[E.]~~ ~~[F.]~~ THE ANNUAL REPORT REQUIRED PURSUANT TO SUBSECTION ~~[D-]~~
38 ~~[E]~~ OF THIS SECTION MUST INCLUDE ALL OF THE FOLLOWING:

39 1. THE TOURISM IMPROVEMENT AREA ACTIVITIES PROVIDED FOR THE
40 PREVIOUS FISCAL YEAR.

41 2. THE AMOUNT OF TOURISM IMPROVEMENT AREA MONIES SPENT ON TOURISM
42 IMPROVEMENT AREA ACTIVITIES FOR THE PREVIOUS FISCAL YEAR.

43 3. THE ESTIMATED AMOUNT OF ANY SURPLUS OR DEFICIT MONIES TO BE
44 CARRIED OVER FROM THE PREVIOUS FISCAL YEAR.

1 48-6506. Tourism improvement area plan; amendments

2 A. ON THE WRITTEN REQUEST OF THE DESTINATION MARKETING ORGANIZATION
3 MANAGING THE TOURISM IMPROVEMENT AREA, THE GOVERNING BODY MAY AMEND THE
4 TOURISM IMPROVEMENT AREA PLAN PURSUANT TO THIS SECTION.

5 B. IF THE TOURISM IMPROVEMENT AREA PLAN AMENDMENT INCLUDES A NEW OR
6 INCREASED LODGING BUSINESS ASSESSMENT, THE GOVERNING BODY SHALL DO ALL OF
7 THE FOLLOWING:

8 1. HOLD A PUBLIC HEARING ON THE AMENDMENT AT LEAST THIRTY DAYS
9 AFTER MAILING THE NOTICE TO THE ASSESSED LODGING BUSINESS OWNERS THAT IS
10 REQUIRED PURSUANT TO PARAGRAPH 2 OF THIS SUBSECTION.

11 2. PROVIDE NOTICE OF THIS MEETING BY MAIL TO EACH LODGING BUSINESS
12 OWNER THAT IS SUBJECT TO LODGING BUSINESS ASSESSMENT IN THE TOURISM
13 IMPROVEMENT AREA AND PUBLISH THE NOTICE IN A NEWSPAPER OF GENERAL
14 CIRCULATION IN THE MUNICIPALITY OR COUNTY OR ON THE MUNICIPALITY'S OR
15 COUNTY'S PUBLIC WEBSITE AT LEAST THIRTY DAYS BEFORE THE DATE OF THE
16 HEARING.

17 [3. PROVIDE NOTICE OF ANY APPROVED TOURISM IMPROVEMENT AREA PLAN
18 AMENDMENT TO THE DEPARTMENT OF REVENUE IN THE MANNER REQUIRED BY THE
19 DEPARTMENT OF REVENUE.]

20 C. IF THE AMENDMENT DOES NOT INCLUDE A NEW OR INCREASED ASSESSMENT,
21 THE GOVERNING BODY IS NOT REQUIRED TO HOLD A PUBLIC HEARING ON THE
22 AMENDMENT.

23 D. AMENDMENTS TO A TOURISM IMPROVEMENT AREA PLAN MAY NOT INCLUDE
24 ANY CHANGES TO THE TOURISM IMPROVEMENT AREA'S BOUNDARIES.

25 48-6507. Lodging business assessments; withdrawal;
26 rescission; collection; disbursement

27 A. [EXCEPT AS PRESCRIBED BY SUBSECTION B OF THIS SECTION.] THE
28 DESTINATION MARKETING ORGANIZATION MANAGING THE TOURISM IMPROVEMENT AREA
29 SHALL ESTABLISH[~~CHARGE AND COLLECT~~] LODGING BUSINESS ASSESSMENTS ON THE
30 LODGING BUSINESSES LOCATED WITHIN THE TOURISM IMPROVEMENT AREA. THE
31 DESTINATION MARKETING ORGANIZATION MANAGING THE TOURISM IMPROVEMENT AREA
32 MAY LEVY A LODGING BUSINESS ASSESSMENT OF NOT MORE THAN \$5 [PER NIGHT] OR
33 FIVE PERCENT [~~PER ROOM SOLD PER NIGHT ON~~] [OF THE RECEIPTS FROM ROOM
34 RENTALS BY] THE LODGING BUSINESS [~~ROOMS~~] IN THE TOURISM IMPROVEMENT AREA.

35 [B. ANY LODGING BUSINESS OWNER MAY WITHDRAW FROM THE TOURISM
36 IMPROVEMENT AREA DURING THE SAME ANNUAL SIXTY-DAY PERIOD PROVIDED FOR
37 DISSOLUTION IN SECTION 48-6508, SUBSECTION B BY FILING A WRITTEN NOTICE OF
38 WITHDRAWAL WITH THE OWNERS' BOARD. A LODGING BUSINESS OWNER THAT FILES A
39 NOTICE OF WITHDRAWAL IS NOT SUBJECT TO THE LODGING BUSINESS ASSESSMENT AND
40 IS NO LONGER ELIGIBLE FOR MEMBERSHIP ON THE OWNERS' BOARD. A LODGING
41 BUSINESS OWNER THAT HAS WITHDRAWN FROM THE TOURISM IMPROVEMENT AREA MAY
42 RESCIND ITS WITHDRAWAL BY FILING A WRITTEN NOTICE OF RESCISSION WITH THE
43 OWNERS' BOARD AND, ON DOING SO, IS SUBJECT TO THE LODGING BUSINESS
44 ASSESSMENT BEGINNING ON THE FIRST DAY OF THE TOURISM IMPROVEMENT AREA
45 FISCAL YEAR AFTER THE NOTICE OF RESCISSION IS FILED.]

1 C. IF A LODGING BUSINESS OWNER WITHDRAWS FROM THE TOURISM
2 IMPROVEMENT AREA DURING THE SIXTY-DAY PERIOD PRESCRIBED BY SUBSECTION B OF
3 THIS SECTION, THE OWNERS' BOARD SHALL NOTIFY THE DEPARTMENT OF REVENUE AND
4 THE GOVERNING BODY.]

5 ~~[B.]~~ [D.] THE LODGING BUSINESS ASSESSMENT SHALL BE LEVIED
6 BEGINNING ON THE FIRST DAY OF THE FIRST MONTH NINETY DAYS AFTER THE
7 OWNERS' BOARD IS ESTABLISHED. THE DEPARTMENT OF REVENUE SHALL REPORT TO
8 THE STATE TREASURER THE AMOUNT OF LODGING BUSINESS ASSESSMENTS COLLECTED
9 PURSUANT TO THIS SECTION.

10 ~~[C.]~~ [E.] THE STATE TREASURER SHALL TRANSMIT TO THE TREASURER OR
11 OFFICER EXERCISING THE FUNCTIONS OF TREASURER OF THE MUNICIPALITY OR
12 COUNTY WHERE THE TOURISM IMPROVEMENT AREA IS LOCATED ON A MONTHLY BASIS
13 THE AMOUNT COLLECTED FROM LODGING BUSINESS ASSESSMENTS WITHIN THE TOURISM
14 IMPROVEMENT AREA.

15 ~~[D.]~~ [F.] THE DESTINATION MARKETING ORGANIZATION MANAGING THE
16 TOURISM IMPROVEMENT AREA AND THE GOVERNING BODY THAT IS PARTICIPATING IN
17 THE TOURISM IMPROVEMENT AREA SHALL REPORT TO THE DEPARTMENT OF REVENUE THE
18 AMOUNT OF THE LODGING BUSINESS ASSESSMENT AND SUPPLY THE DEPARTMENT OF
19 REVENUE AND THE STATE TREASURER WITH ALL REQUESTED INFORMATION NECESSARY
20 TO ADMINISTER THIS SECTION.

21 ~~[E.]~~ [G.] THE DEPARTMENT OF REVENUE AND THE GOVERNING BODY THAT IS
22 PARTICIPATING IN THE TOURISM IMPROVEMENT AREA SHALL ENTER INTO AN
23 INTERGOVERNMENTAL AGREEMENT THAT PROVIDES FOR THE DEPARTMENT OF REVENUE TO
24 RECEIVE MONIES FOR [THE COSTS OF] ADMINISTERING THE LODGING BUSINESS
25 ASSESSMENT FROM THE PROCEEDS OF THAT LODGING BUSINESS ASSESSMENT.

26 ~~[F.]~~ [H.] UNLESS THE CONTEXT OTHERWISE REQUIRES, TITLE 42, CHAPTER
27 5, ARTICLE 1 GOVERNS THE ADMINISTRATION OF THE LODGING BUSINESS
28 ASSESSMENT, EXCEPT THAT:

29 1. A SEPARATE LICENSE IS NOT REQUIRED FOR THE LODGING BUSINESS
30 ASSESSMENT IMPOSED BY THIS SECTION.

31 2. A SEPARATE BOND IS NOT REQUIRED FOR EMPLOYEES OF THE DEPARTMENT
32 OF REVENUE FOR ADMINISTERING THIS SECTION.

33 48-6508. ~~Renewal; dissolution; remaining revenue~~

34 A. AN ESTABLISHED TOURISM IMPROVEMENT AREA MAY BE RENEWED FOR A NEW
35 TERM. A RENEWED TOURISM IMPROVEMENT AREA MAY ENGAGE IN DIFFERENT TOURISM
36 IMPROVEMENT AREA ACTIVITIES THAN THE ORIGINAL TOURISM IMPROVEMENT
37 AREA. ON RENEWAL OF A TOURISM IMPROVEMENT AREA, THE GOVERNING BODY SHALL
38 TRANSFER ANY REMAINING MONIES HELD BY THE TOURISM IMPROVEMENT AREA TO THE
39 RENEWED TOURISM IMPROVEMENT AREA.

40 B. DURING THE TERM OF THE TOURISM IMPROVEMENT AREA, THERE SHALL BE
41 A SIXTY-DAY PERIOD EACH YEAR IN WHICH LODGING BUSINESS OWNERS THAT HAVE
42 PAID LODGING BUSINESS ASSESSMENTS MAY REQUEST DISSOLUTION OF THE TOURISM
43 IMPROVEMENT AREA. THE INITIAL SIXTY-DAY PERIOD SHALL BEGIN ONE YEAR AFTER
44 THE DATE OF ESTABLISHMENT OF THE TOURISM IMPROVEMENT AREA. ON RECEIPT OF
45 A PETITION SUBMITTED BY THE LODGING BUSINESS OWNERS THAT REPRESENT FIFTY

1 PERCENT OR MORE OF THE TOTAL ROOMS WITHIN THE TOURISM IMPROVEMENT AREA,
2 THE GOVERNING BODY SHALL PASS A RESOLUTION OF INTENTION TO DISSOLVE THE
3 TOURISM IMPROVEMENT AREA. THE GOVERNING BODY SHALL HOLD A HEARING ON THE
4 PETITION TO DISSOLVE THE TOURISM IMPROVEMENT AREA AND SHALL PROVIDE NOTICE
5 OF THE HEARING PURSUANT TO THE NOTICE REQUIREMENTS OF SECTION 48-6504.

6 C. THE GOVERNING BODY MAY ADOPT A RESOLUTION TO DISSOLVE A TOURISM
7 IMPROVEMENT AREA. THE GOVERNING BODY MAY ONLY ADOPT A RESOLUTION TO
8 DISSOLVE A TOURISM IMPROVEMENT AREA WHEN THE TOURISM IMPROVEMENT AREA HAS
9 SATISFIED ALL DEBTS OF THE TOURISM IMPROVEMENT AREA. THE GOVERNING BODY
10 MAY ALSO DISSOLVE A TOURISM IMPROVEMENT AREA IF THE GOVERNING BODY FINDS
11 THERE HAS BEEN MISAPPROPRIATION OF MONIES, MALFEASANCE OR A VIOLATION OF
12 LAW IN CONNECTION WITH THE MANAGEMENT OF THE TOURISM IMPROVEMENT AREA.

13 D. THE RESOLUTION ADOPTED BY THE GOVERNING BODY PURSUANT TO
14 SUBSECTION B OR C OF THIS SECTION SHALL STATE THE REASON FOR THE
15 DISSOLUTION AND THE TIME AND PLACE OF THE PUBLIC HEARING AND SHALL CONTAIN
16 A PROPOSAL TO DISPOSE OF ANY ASSETS ACQUIRED WITH THE MONIES OF THE
17 LODGING BUSINESS ASSESSMENTS LEVIED WITHIN THE TOURISM IMPROVEMENT
18 AREA. THE NOTICE OF THE HEARING ON DISSOLUTION REQUIRED BY THIS SECTION
19 SHALL BE GIVEN BY MAIL TO EACH LODGING BUSINESS OWNER THAT IS SUBJECT TO A
20 LODGING BUSINESS ASSESSMENT IN THE TOURISM IMPROVEMENT AREA AND PUBLISHED
21 IN A NEWSPAPER OF GENERAL CIRCULATION IN THE MUNICIPALITY OR COUNTY OR ON
22 THE MUNICIPALITY'S OR COUNTY'S PUBLIC WEBSITE AT LEAST THIRTY DAYS BEFORE
23 THE DATE OF THE HEARING. THE GOVERNING BODY SHALL CONDUCT THE PUBLIC
24 HEARING AT LEAST THIRTY DAYS AFTER MAILING THE NOTICE OF HEARING. THE
25 PUBLIC HEARING SHALL BE HELD NOT MORE THAN SIXTY DAYS AFTER THE ADOPTION
26 OF THE RESOLUTION OF INTENTION TO DISSOLVE THE TOURISM IMPROVEMENT AREA.

27 E. ON THE DISSOLUTION OR EXPIRATION WITHOUT RENEWAL OF A TOURISM
28 IMPROVEMENT AREA, ANY MONIES THAT REMAIN AFTER ALL DEBTS OF THE TOURISM
29 IMPROVEMENT AREA ARE PAID SHALL BE SPENT IN ACCORDANCE WITH THE TOURISM
30 IMPROVEMENT AREA PLAN OR SHALL BE REFUNDED TO THE LODGING BUSINESS OWNERS
31 OF THE LODGING BUSINESSES THAT ARE LOCATED AND OPERATING WITHIN THE
32 TOURISM IMPROVEMENT AREA AT THE TIME OF DISSOLUTION OF THE TOURISM
33 IMPROVEMENT AREA. REMAINING MONIES THAT ARE TO BE REFUNDED TO LODGING
34 BUSINESS OWNERS SHALL BE REFUNDED USING THE SAME METHOD AND BASIS THAT WAS
35 USED BY THE DESTINATION MARKETING ORGANIZATION TO ESTABLISH THE LODGING
36 BUSINESS ASSESSMENTS LEVIED IN THE FISCAL YEAR IN WHICH THE TOURISM
37 IMPROVEMENT AREA IS DISSOLVED OR EXPIRES.

38 Sec. 2. Legislative findings

39 The legislature finds that:

40 1. Many tourism and lodging businesses located and operating in
41 municipalities and counties in this state struggle to compete with
42 destinations in other states in attracting overnight visitation.

1 2. Tourism improvement areas will help municipalities within this
2 state to grow leisure, convention and event visitor demand by promoting
3 tourism, business activities, economic growth and employment within this
4 state.

5 3. Because additional services and activities will provide direct
6 benefits to the lodging businesses within a tourism improvement area, the
7 most equitable method of financing tourism improvement area activities is
8 to levy a lodging business assessment on lodging businesses that will
9 benefit from a tourism improvement area.

10 4. Tourism and lodging demand generated by a tourism improvement
11 area will increase revenue for this state.

12 5. Tourism lodging business owners should be encouraged to create a
13 tourism improvement area to enhance the local tourism business climate.

14 6. Tourism improvement area activities are intended to supplement
15 and not replace existing governmental activities and services.

16 Enroll and engross to conform

17 Amend title to conform

JUSTIN WILMETH

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03/09/2026

8:00 AM

C: MR

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